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China Merchants Securities Company Ltd - H

2Q26 profits up 160-198% y/y, a beat; but does this matter?

2Q26 result a strong beat. After market close on 7 July, CMS announced its preliminary 1H26 results ([link](#)). 2Q26 net profits rose 160-198% y/y to Rmb6.7-7.7bn, a record high and likely ahead of market expectation. That said, investors may question whether the beat still matters given that A/H share brokers' share prices were down by an average 3%/3% this week, after GTHT's strong profit alert ([link](#)). We argue CMS's results further validate our constructive view on the sector, and that recent share price weakness presents an opportunity to add—given the sector's undemanding valuations and potential upward revisions in consensus earnings following the profit alerts. We believe CICC, Citic Sec, and Guangfa may issue profit alerts in the coming weeks.

- **2Q26 result a strong beat:** After market close on 7 July, CMS issued an exchange announcement on its preliminary 1H26 results ([link](#)). According to the announcement, its net profit will reach Rmb10.0-11.0bn in 1H26, +93-112% y/y. This implies 2Q26 net profits of Rmb6.7-7.7bn, +160-198% y/y. The result is likely ahead of the market expectation, as 1H26 net profits represent 69-76%/67-74% of the JPMe and BBG consensus FY26 net profits, respectively. CMS didn't provide further details in the announcements. We expect the strong result was mainly driven by stronger investment income and brokerage revenues in 2Q26.
- **But why didn't the market react positively to GTHT's profit alert?** A/H share brokers' share prices have declined 3%/3% on average this week, despite GTHT's strong pre-announcement last Friday ([link](#)). We attribute this to investors' profit taking and concerns on sustainability of such a strong performance. Note that the CSI300 and STAR50 indices were down 4% and 9% in July MTD. Some investors may worry that strong 2Q results were disproportionately driven by investment income, and that the declining market indices could translate into softer operating performance in 3Q.
- **We see recent share price weakness as an opportunity to add:** We view these concerns as overdone. **First**, we expect brokers' strong 2Q results to reflect a broad-based recovery across brokerage, investment banking, capital intermediary, and investment income. **Second**, both GTHT's and CMS's 1H26 profits are ~70% of Bloomberg consensus FY26 profits, suggesting the market is underestimating the strength of China brokers' earnings momentum. We see scope for consensus upgrades to drive a sector re-rating. **Third**, valuations remain undemanding: A- and H-share brokers trade at ~1.15x and ~0.74x forward P/B, respectively. We therefore view the pullback as an opportunity to add, particularly in high-quality brokers.

Overweight

6099.HK, 6099 HK

Price: HK\$17.03

07 Jul 2026

Price Target: HK\$17.20

PT End Date: 31 Dec 2026

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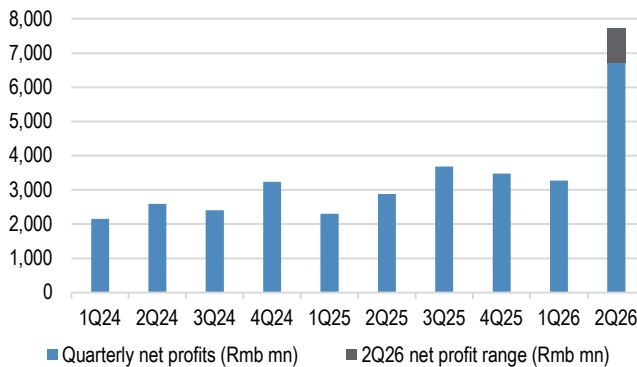
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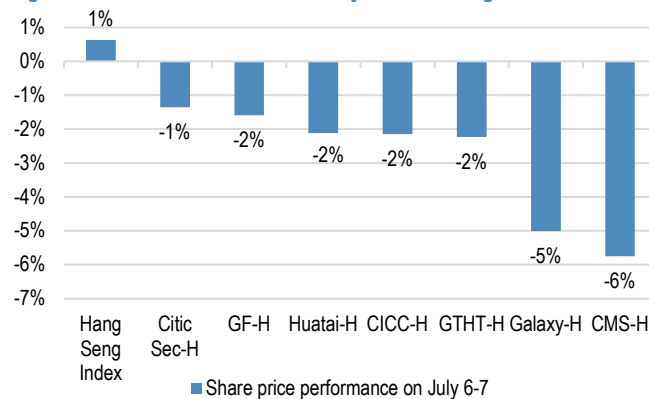
- CXMT's listing remains a key catalyst to watch:** CMS's share price rose by 28%/23% for the A/H share since May 18, outperforming A/H share brokers by 16ppt/17ppt, respectively. This is mainly due to market reassessment of CMS's investment in CXMT, a leading DRAM player in China ([link](#)). CXMT has received regulatory approval to be listed on the STAR board. The recent share price outperformance for CMS indicates that the market has factored in the positive investment gain from CXMT. Thus, the upcoming listing for CXMT and the subsequent share price performance may be a key share price driver for CMS going forward.

Figure 1: CMS 2Q26 net profits reached Rmb6.7-7.7bn, +160-198% y/y, a record high



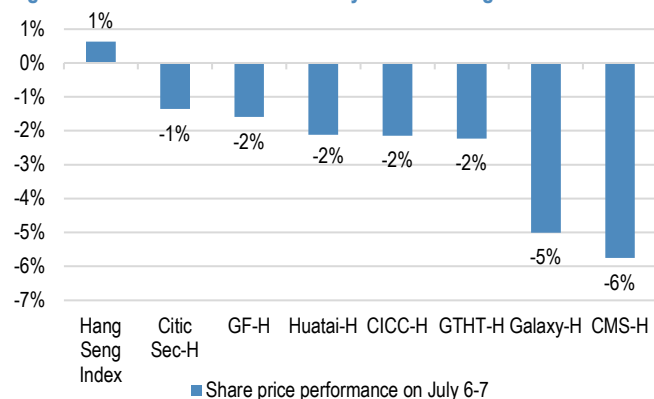
Source: Company, 1Q24-2Q26 financial results.

Figure 2: H share brokers declined by 3% on average since Guotai Haitong's result pre-announcement on July 3



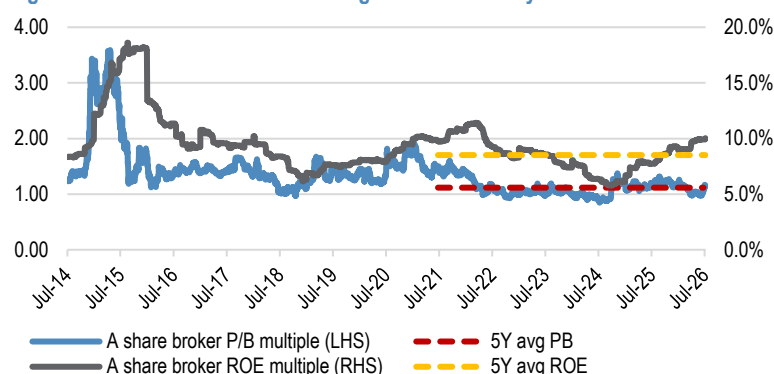
Source: Bloomberg Finance L.P. Data as of July 7 2026.

Figure 3: A share brokers declined by 3% on average since Guotai Haitong's result pre-announcement on July 3



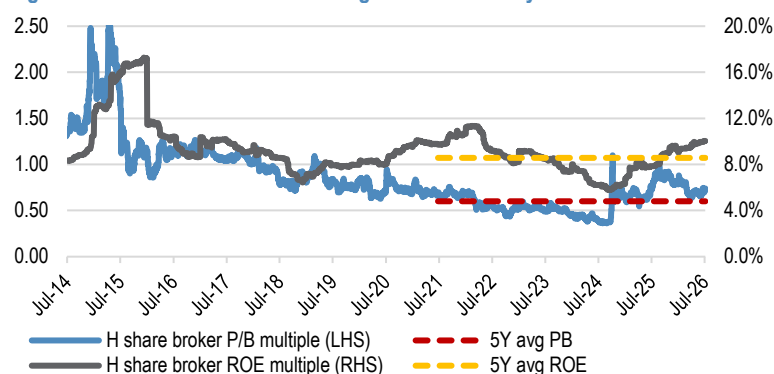
Source: Bloomberg Finance L.P. Data as of July 7 2026.

Figure 4: A share brokers were trading at 1.15x PB lately



Source: Bloomberg Finance L.P. Data as of July 7 2026.

Figure 5: H share brokers were trading at 0.74x PB lately



Source: Bloomberg Finance L.P. Data as of July 7 2026.

Investment Thesis

We have an OW rating on CMS-H. Our analysis suggests CMS is gaining market share in the brokerage business and will benefit from mutual fund business growth. CXMT's listing on STAR board may bring upsides to CMS's investment income in 3Q26.

Valuation

Our Dec-26 PT of HK\$17.20 is derived from a combination of DDM for FY26-28E dividends and terminal value based on ROE-g/COE-g methodology. We compound the time value to derive a fair value of Rmb15.0 for Dec-26 from the current fair value of Rmb13.9 and use spot CNY/HKD to convert to HKD for our H-share PT. Key assumptions include: a risk-free rate of 1.80%, an equity risk premium of 8.0%, a beta of 1.2x and a long-term growth rate of 4.5%.

Valuation Summary

DDM Valuation	
Risk-free rate	1.8%
Equity premium	8.0%
Beta	1.2x
Cost of capital	11.4%
Long-term growth	4.5%
Fair terminal P/BV multiple	0.94x
BVPS - 2026E (Rmb)	14.9
DPS - 2026E (Rmb)	0.6
Valuation date	13-Apr-26
Terminal date	31-Dec-28
PV of terminal value (Rmb per share)	12.0
PV of dividends (Rmb per share)	1.9
Current fair value (Rmb)	13.9
Dec-26 fair value (Rmb)	15.0
Dec-26 price target (HKD)	17.2
*CNYHKD Currency	1.15

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include: (1) risks related to contributions to the government stabilization fund (the CSFC) and the ban on hedging; (2) tighter regulatory supervision of the rapidly emerging domestic asset management businesses; and (3) long-term pressure on brokerage commission rates due to the development of online/mobile industry platforms and fragmented market conditions, combined with uncertainties from the potential deregulation of brokerage fee structures.

Upside risks include: (1) higher-than-expected brokerage commissions; (2) higher-than-expected income from new business; and (3) improving ADT.

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China Merchants Securities Company Ltd - H (6099.HK, 6099 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
11-Jan-24	N	6.10	7.3
11-Aug-24	N	6.09	6.6
03-Oct-24	N	16.50	14.494
19-Mar-25	N	14.96	14.27
06-Aug-25	N	16.49	14.5
20-Mar-26	OW	13.22	16.4
13-Apr-26	OW	13.80	17.2

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 16, 2016. All share prices are as of market close on the previous business day.

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